SI413: Why Trend Following Is More Than Crisis Alpha ft. Andrew Beer & Tom Wrobel

Podcast: Top Traders Unplugged

AI Executive Summary

1. Core Thesis: The episode posits that the current market environment is defined by a bifurcation between high-growth FOMO narratives (AI, venture capital) and cautious hedging themes (inflation, commodities). Systematic CTAs have delivered superior risk-adjusted returns over the past 12 months by navigating this volatility through diversified, rules-based exposure rather than relying solely on "crisis alpha." The discussion emphasizes a shift toward all-weather portfolio logic over crisis protection, the increasing use of capital-efficient structures like Managed Accounts (Portable Alpha), and the critical need to account for survivorship bias when analyzing industry performance indices.

2. Key Arguments & Data:

3. **Market State:** The "Trend Barometer" has declined to 27%, indicating very few markets are currently trending, though net-net equity prices have "digested" previous volatility and remain upward in a new normal.
4. **Performance Metrics (Year-to-Date):** The SOCCT Index rose 23% over the past 12 months compared to the MS World index (21%) and S&P US Aggregate Bonds (2%). Beta equities remained long on this period despite being contrarian to fundamentals.
5. **Strategy Composition:** CTAs generate performance across a variety of markets simultaneously (Precious metals, energies, equities) rather than relying on a single dominant trend. This creates a "fear of missing out" vs. "risk/capital squeeze" narrative duality in equity and macro commentary.
6. **Yen Intervention:** The market impact was less severe than expected due to broad diversification (offsetting long yen with crude oil). However, idiosyncratic risk remains if portfolios are heavily concentrated in specific dollar trades or core asset classes.
7. **Trend vs. Non-Trend:** Trend following is the "core driver," while non-trend strategies (short-term CTAs, Quant Macro, Commodity ETFs) act as satellites with lower sharp ratios and zero-sharp ratio exercises in high-frequency trading.

8. **Capital Efficiency & SMA:** Managed Accounts are becoming industry standard for capital efficiency, allowing investors to overlay CTA exposure (e.g., 20-50 basis points) on equity portfolios without full capital allocation costs ("Portable Alpha").
9. **Index Bias:** The SOCCT Trend Index is an actively managed index of large fund managers. Backfilling historical data shows the current constituents would have significantly outperformed, but this creates survivorship bias where individual manager risk is underestimated.
10. **"Crisis Alpha" vs. All-Weather:** Investors often expect crisis alpha (performance during market downturns). However, the industry argues CTAs provide "risk-mitigating" all-weather solutions with cash-like returns for 80% of the year and strong performance only during specific periods or when portfolios are rebalanced.

11. **Market Volatility:** High volatility is a new normal; trend models can generate profit by trading different markets (gold, oil, equities) simultaneously but must accept higher drawdowns in concentrated scenarios.

12. Actionable Takeaways:

13. **Adopt an All-Weather Mindset:** Shift expectations from seeking "crisis alpha" to building all-weather solutions that provide risk mitigation and consistent portfolio performance across market cycles (growth vs. inflation).
14. **Utilize Capital-Efficient Structures:** Consider using Managed Accounts or Portable Alpha vehicles to access systematic trend exposure without sacrificing capital in the core equity position.
15. **Diversify Strategically:** Do not rely on a single strategy type. Combine trend-following core strategies with complementary non-trend elements (e.g., Quant Macro) to smooth volatility and capture opportunity across different asset classes.
16. **Evaluate Indices Carefully:** When assessing CTA funds, look beyond index performance to understand selection bias; analyze individual fund historical consistency rather than relying solely on the benchmark which favors larger, more stable players.

17. **Focus on Rules Over Prediction:** Success comes from preparation for the unexpected and adhering to a rules-based approach (stop-losses, position sizing) rather than attempting to predict market direction or relying on emotional decision-making during drawdowns.

Full Transcript

Welcome to Top Traders Unplugged. In markets, success doesn't come from predicting what happens next. It comes from being prepared for what you can't predict. In each episode, we go deep with some of the world's most thoughtful minds in investing, economics, and beyond to understand how they think, how they prepare, and how they decide, and the experiences that shaped how they see the world. No noise, no shortcuts, just real conversations to help you think better and invest with confidence. Welcome and welcome back to this week's edition of the Systematic Investors Series with Andrew Beer and Tom Robel, as well as myself, Nils Kastrelassen, where we each week take the pulse of the global market through the lens of a rules-based investor. Andrew and Tom, it is great to have you both back this week on the podcast. Tom, it's been a little while. How are you doing?

Thanks, Nils. Yes, very well here. We're in Eclipse, Mania, in London. We've had the solar eclipse, which has been very exciting. Yeah. Well, let me talk to you about that as well, Andrew. How are you? And did you see the eclipse? Because I missed it completely because of clouds over here, where I... I missed it completely, but we also didn't get it over here. It kind of arched from, I guess, you know... sort of the Nordics down through down the kind of hit Madrid. My sister did fly to Iceland to see it though with her daughter and then had a perfectly cloudy day. So all things are great. And thank you very much for having me back. It's great to be. Absolutely. Tom, so did you actually see because I was looking at it. And so here where I am at the moment in Denmark, they said, oh, it's going to be seven o'clock. And then they said eight o'clock. And I was obviously not watching directly into the sun. I really didn't see any signs of it. Well, we had about 95% here in the UK, which was pretty amazing. But interestingly, if you weren't looking at it through a sort of a safety glass or goggle, it was almost unobservable because the sun did get a lot dimmer, but it still was evening time, so the sun was going down anyway. However, we had some goggles and it was really amazing.

Okay. Wow. Okay. Well, next time I'll buy the goggles. That's for sure. Anyways, we've got a really good lineup of topics. Thanks so much for

sending them over. We got a question that came in as well. So lots of things to dig into. But as usual, before we get into any of that, let me ask you, Tom, what has been on your sort of outside the topics we're going to be discussing? Anything that you've sort of found interesting or caught your attention in the last few weeks? I think it's really been volatility. It's like the markets have almost forgotten about volatility and where we're going and the geopolitics that is going on. I think I feel like we're in a new normal where prices have now digested the volatility in Iran war. And it's almost like equities are off again. And Here come the next big major trends. Yeah, I mean, that is true. Although there has been a little bit of volatility, it's just that net-net it's been up and down and not really going anywhere. What about you, Andrew? I know you said you were heading for the last time we spoke, you said, oh, I'm heading for the mountains. I'm going to relax. Have you succeeded in relaxing?

Uncharacteristically, I have. I had been trying to tune out a lot of things that have been going on. Again, I guess one observation back to what Tom was saying is that I started my career in the hedge fund space working for a die-hard value investor. And before that, I'd been an investment banker. worked briefly at an LBO firm. And I don't know how you conduct any kind of normal traditional valuation analysis in this world right now. And I've used this metaphor that I think the equity markets have just become, they used to have venture capital, you know, Cathie Wood arc, these kind of pie in the sky things where God knows what's going to happen five or seven years out. But if you added up everybody's projections of what was going to happen five to seven years out, Everybody would have these huge monstrous companies. But the reality of venture capital is that you get one or two winners, and then it's a killing field for everybody else. And it feels like the equity markets today, I mean, they're so strange that you have a SpaceX IPO that's talking about things that are a company of that scale that are so fantastical.

And so that's just as I've been watching and we'll talk about some related points on it. It does feel like there's just something very, very profound going on and it could be a repeat of 2000 or it could be something very, very different. We just don't know what this is more. Yeah, no, that's true. And I think the thing that we may not be noticing so much in what's going

on and this is Is this ever increasing level of interest rates right the yields are just in higher and higher not all the time not every day. And it's you're almost kind of not paying attention to it so interesting enough no so for my part and I didn't find anything sort of from the markets because actually as you both said I mean it's not like that a lot of things happening and that is new but what is new is the story I noticed in the Danish newspaper.

It's about an experimental magnetic train developed in China. And it just broke its own world record. It accelerated from zero to 800 kilometers per hour. That's 500 miles per hour in 5.3 seconds. And I'm thinking that's going to be a fun ride. You don't want to have your coffee just filled just before takeoff. Are you signing up for a ride on that then, Nils? No, I'm not. But I was curious. And so I asked ChatGBT, how does that compare to the acceleration of an F35? Would we even be able to go to these? And it says, and I have no idea if this is correct, it says it's roughly four to six times faster than an F35 acceleration.

probably not for humans for the moment at least, but anyways, anyways. All right, well, back to something that has not accelerated very much in recent weeks, and that's the trend barometer. In fact, it's been the opposite. It's gone down to 27, which actually to Andrew's point, I think it was, it suggests that at the moment, there are very few markets that are trending. It doesn't mean that trend follows can't make money but it means that the opportunity set is very limited because only 27% of the markets it tracks is quote unquote in a trending state so thought that's interesting also vis-a-vis the returns that I'm gonna come to in a second to me at least we had a bit of a correction in June I think it's fair to say we had a bit of a soft July and not too bad.

August so far seems to be off to a decent start. And from where I sit, it looks like equities, medals, and maybe one or two currencies that are doing the heavy lifting. So not a broad based participation as such. So I wanted to maybe come to you, Tom, and ask a little bit from your perspective. Firstly, kind of what you've noticed since we last spoke performance wise over the summer. Obviously, anything you've found interesting looking at the space. Again, not going into the topics we're going to talk about, but just overall performance-wise or exposure-wise. I think CTAs have definitely extended

on some really good gains that they made at the end of last year. There was a very strong beginning quarter and into the halfway point of 2026, which is fantastic. I think the important thing to realize about those gains is they've come from a variety of places. It hasn't just been one trend. It's been precious metals, which displayed some fantastic upside at the beginning of the year. Then energies when the Iran war kicked off. And then I think in the background of that, you've had equities with sort of slow and steady upward drift of a little bit of volatility in the middle of the year. But it's really been interesting to see.

Trends contributing performance from a variety of places. And although we've had a bit of a downturn now in performance, I mean, most CTAs are still holding on to some strong year to date gains. So there's still a lot going on and there's still a lot that CTAs are very proud of. If we look now, interestingly thinking about gold, our trend indicator sort of model portfolio has actually gone short gold and is generating some interesting. performance from that potential position. So it looks as though CTAs, if they are themselves short, have sort of adapted and are now kind of taking advantage of the new environment that we're in. Yeah. We'll come to maybe some of the differences you're also noticing between managers later. I know that Andrew Borda point up that we will touch on that. What about you, Andrew? You obviously look at the exposure of the industry as a whole. That's what you kind of replicate from that.

vantage point. Are you seeing any changes themes in the last few weeks? Well, I guess one just fall on observation. It's been incredible 12 months. I mean, you're the date aside. I mean, I got last time I calculated them when we were talking about questions a few days ago. The suction CT index up 23% over the past year. 23%. Right? I mean, that's an incredible 12 months return. And the beta equities now, we've been long, everybody's been long equities to some degree over that period of time, which was the right trade, right? It was, you know, being long equities post-liberation day was actually quite contrarian relative to what fundamental investors were saying at the time. So this is my point about being contrarian tactical alpha generating, but with a beta of 0.3, you're up 23% over that period of time, the MSR world.

which has had a great 12 months is only up 21% and bonds are up 2%. So, but what I think, what I think has been really interesting this year is that, and we've talked about this, there's sometimes when it feels like there's a single theme that's dominating the markets. And I don't care if you're trading, if you've got a portfolio of 10 positions like Austria 300 or 400, everything's kind of pointing in the same direction. And so when you get an event like an SVB or a liberation day or something that reverberates across all these different markets. That's when CTAs can be most affected by WebSauce. What's been really interesting this year is when you talk about macro commentary, there are really two prevailing views of the world. On the equity side is fear of missing out. It's the only live once. It's this kind of venture capital like view of, you know, productivity growth and AI and everything else and everything's cat-backs and everything's going to kind of grow to the moon. And then other parts of the market are much more cautious where you've got a potential squeeze and crude oil. You've got rising interest rates and stubborn inflation. And those two prevailing narratives have both been evident in our portfolios.

And so what you've seen this year was kind of capitalizing on a number of trends that were working together in the first three or four months of the year and kind of big gains in the first, and then the rest of the year has kind of been treading water and holding on to gains during a period of time when, you know, gold goes up and then gets crushed, oil goes up and then gets crushed and then bounces back and then equities get crushed and then they come bouncing back. So you've had all this volatility in all these different things. And at least we've seen in our portfolio skating through it. And given how rough and volatile this year is, that's been a very, very, it's actually felt like a, you know, that plus the cumulative year-over-year performance. It really strikes me as one of the most extraordinary periods that I've seen in this space, just from a, you know, a risk, a risk-adjusted returns perspective. Yeah, no, absolutely. Yeah, go ahead. I think Andrew's exactly right. And I think The fact that cts have been able to hold on to this performance they've generated it from a variety of sources has made. Systematic trading far more palatable for investors it's that there's a common frustration that they don't always deliver that immediate protection during some sort of market event or volatility but they have these longer

term statistical relationships but this year is really demonstrated the resilience.

of having CTA style strategies in a diversified portfolio. And it's something which I think we always talk about on the podcast, and it's something we sound like a broken record, but diversification is the only free lunch. And the way people and CTAs allocate risk across markets really is playing dividends this year. It's a very active process. They aren't just selecting markets and then having a static allocation. And I think that is where they've been able to add a lot of value. Can I do a follow-up on that? The importance of diversification, but also the point about resilience. What are your thoughts on the maybe, quote-unquote, the lack of damage that the Yen intervention did for CTAs? I mean, because we've often seen that something like that can really be the catalyst of something more meaningful, but it was, yeah, painful, but not that bad.

Any, any thought from where you sit? Yeah, go ahead, Andrew. Well, so to me, the fact that the damage wasn't worse was incredible. Right. I mean, it was, I mean, the yen has been one of the very best money makers. And if you looked at our attribution a few months ago, we had kind of big gains in yen and big gains in, in, in, you know, say crude oil and some gains in equities. But I think it did show this kind of bifurcated world out there. Everything for us is, again, when I see something like that, because we tend to be, if something big idiosyncratic happens in the 10 markets that we trade, I expect to be hit more, right? And I tell clients, like if everybody has long, some dollar trade, the core of which is a short yen trade, and there's an intervention in the end, I expect us to lose more money. You should expect us to lose more money because there is some idiosyncratic risk in it.

As well and we didn't and the broader actually we actually outperformed the damage wasn't nearly as bad and we actually outperformed over those few days So and I'm still not quite sure exactly why that is. I mean we can see it in some of our trend models, but I can't quite pinpoint it Exactly what is causing it, but but I think that's that's part of what I think is the success of this year You know, that's a nightmare scenario like the war starting is a nightmare scenario if you're long equities and you're long gold and But the saving grace was then, by that time, we're also long crude oil. This is one of

those periods where flat has been the new up or stability has been so valuable over the past four or five months. Now, you realize that I am taking a huge risk of jinxing it for everybody by saying this out loud on this podcast, but I do think it's been a terrific year for this space. What's interesting, just hearing you talk about like that, I'm thinking, Well, Andrew doesn't trade many currencies and but one of them he picked is probably the only one where you still see intervention risk showing up. So that's a gutsy choice. Yeah. Anything on your side, Tom? It hasn't really been something that's been that much, you haven't had questions about it. I think obviously there has been a very strong downwards yen trend, which has contributed.

really nicely to P&L in portfolios. It reversed slightly. People lost. There's a bit of pain. There would have been some risk management. But I think it hasn't raised too many questions. I think there's a lot of other things going on in the world and maybe that's kind of part of the reason. Can I ask a question for Tom on that? Because one of the things that, and I think it's something we may talk about a little bit, is the non-trend strategies. So a very interesting statistical quirk of July is that you can, there are three kind of broad groups that we track. The SOCCHEN CTA index is one, we consider that representative of the flagship hedge funds. Then you've also got two Morningstar indices, one of which covers the USITS fund space, in other words, in terms of the US space. Both of those were up in July, and the SOCCHEN CTA index was down.

And it looks to us like there were a couple of funds within the SOCKGEN CTNX that had much, much larger than expected drawdowns in July. But is that carry trade that you're seeing, Tom? In other words, it was an unintended consequence of the yen, which was bad from a trend perspective. But if you've been loading up on carry to diversify it from trend, did you get hit with a double whammy? I didn't. I'd have to do a bit of digging on that. I think we used to actually run a similar index. So we had a CTA mutual fund index. And one of the only two kind of things we ever really observed from that index was that it had an unsurprisingly very high correlation to the main CTA index and to trend followers. But it seemed to have some structural kind of underperformance in terms of about 200 basis points per year.

which I think was due to structuring costs and other things. But then there were often markets that couldn't be traded in these structures. So the only thought I have is that maybe, especially from a European lens, in the usage space, commodities is something that is harder to access in a usage fund. So the only thing I can think of is maybe those usage sort of CTAs were avoiding certain moves in commodity markets that maybe were dragging on performance in July. Actually, let me add two things to that. Actually, it's a good point you mentioned about usage because as some people may know, when you do trade commodities in a users fund, it takes an extra couple of days to settle the PNL. So, Andrew, if you're comparing, you know, to specific days with big movements and you say, well, this is what happened in ETF land or in the index land.

And this is what happened in the usage land. Actually, that's a tough comparison if you do specific days, if there are big commodity moves, because it doesn't show up in the same time span. However, to your point, I remember the, if you do remember like a couple of years ago over the summer, there was like a carry on wine situation for a few days in August. Don't we can't remember if it was 23 or 24. Yeah. And actually when I looked at the usage space, I compared our usage with the peer group of usage. You could be right, Andrew, in the sense that there may be more carry going on in some funds. Not to say that they're not open about it. I'm just saying that it may be surprising that there are some funds that run more carry and not really pure trend. And that causes differences when you have.

like an unwind of a carry. By the way, Tom, just interestingly, we used to observe that difference between hedge funds and mutual funds. Broadly it's been a system, it's gone away in the CTA space. In the mutual funds space in the US, they underperformed by four or 500 basis points in 2022 on the upside, which is basically because you've had more things with tighter vol controls because of 40 act rules. But since then there's been almost no difference in performance. And the same thing has happened now in the usage space. So I think years ago you had funds that were loaded with two and 20 down in the Cayman subs plus other funds on top. It was basically these were, I mean, might consider them garbage products and almost all of them have gone. So with AQR and Alpha Simplex and now Winton and others having kind of clean hundred 150 basis point products, there's no

spread anymore. That's why it was so unusual in July to see a 150 or something basis point difference. It'd be interesting to look. So whenever we do an in-depth correlation analysis like that, where we're trying to compare specific periods, we actually tend to roll data up into weekly periods just to avoid time zone, differentials. And as you say, Niels, maybe some sort of settlement issue. And we do observe much more stable correlations when we do when we kind of do that weekly data analysis. Yeah. All right. Well, we've talked a lot about performance, but let's get to August performance. And this is as of Wednesday, Tuesday night. Yesterday, I think was pretty flat overall. And so the beta 50 index was actually up 95 basis points so far in August.

Up about 9% for the year such NCT index up 58 basis points up 8.74% for the year Such in trend up 55 basis points up eight and a half for the year and the short-term traders index doing well up 1.08% in August and up 4.3% so far this year in the traditional world MSCI and this MSCI world and this is as of yesterday is up 3.31% in August up 13.05 for the year and then MSCI World EVE so without US and Canada up 2.31% in August and up 12.34% so far this year. S&B US aggregate bond index is up 40 basis points ish for the 4 August and up 6 basis points so far this year.

and the S&P 500 total return up 3.46% so far in August and up 13.19% so far this year. So overall, actually both in the traditional and in the alternative world, CTA world, August is looking pretty good. All right. So before we get to our list of topics, we want to just touch on a question that came in from Jamie. And this was specifically mentioned for you, Andrew. So Jamie writes long time listener first time writing in at a question for Andrew as I believe he has mentioned that he ran a commodity fund in the past. There are some new active commodity funds that could be described by the technical literature as third generation funds. These fun take long flat or long short positions are systematic and can use momentum and term structure strategies. I would be interested in hearing your and Andrew's observation.

on how such funds are similar to and different from a typical CTA systematic trend following program, besides the obvious fact that they only invest in commodity futures. Sincerely, Jamie, he mentioned a couple of

tickers. I'll leave them out. But just overall thoughts, Andrew, is there something you're familiar with? Well, so the business that I wasn't the PM of the business. I funded the business. I seeded it. I broke the business quite a bit. and raise the initial money for it. But it was actually, it was the antithesis of it. They were all fundamental commodity traders. So there were people who would make markets and express natural gas futures contracts like or forward contracts like somebody like John Arnold or PR and or and et cetera. And it was actually to play against the CTA space. So I guess what I would say is I'm delighted to have a conversation with you.

A little bit familiar with some of the funds I think you're referring to. But please reach out to me over LinkedIn and I'll tell you everything I know which may be wildly disappointed given the age of your questions. But maybe I can give you some. I can at least give you some of the historical background as I see it. Because that business has changed a lot. That's an interesting career. First you start by being against the CTAs and now you're with the CTAs. There we are. Well, it's because a lot of those markets were thinly traded enough. What I liked about it is the information asymmetries in those markets were huge. A friend of mine ran Calpine's natural gas trading business. Well, you're running a natural gas trading business and the company you work for happens to own a lot of the combined cycle natural power plants in the country gives you a kind of good insight into supply and demand.

that goes well beyond and also there's a lot of asymmetrical because you have the relationships of the physical economy. There are a lot of asymmetrical relationships. So you move from hydro power to coal. There's a step function in cost. Then you go to natural gas. There's another step function. Standard options price in theory doesn't work well when you don't have normal distributions. So a lot of the business back in the, it was really taking what Enron tried to do in the 1990s and then really after Enron and Dynaji and all the merchant power companies collapsed to reconstitute those in hedge funds. So what we were focused on as a business was very, very different than CTAs. And that was much more about market structure. But again, please give me a call and I'll tell you all I know. I'll give you my two cents and you may be overpaying for it.

So I think this is what we kind of historically have classified as kind of commodity enhanced beta in our cap intro world. And it's really a response to a lot of interesting commodities and the sort of super cycle of commodities. But if you think back for a long time, just being long commodities was a very difficult thing to do. It was not profitable yet. portfolio theory so tells you these are great diversifiers and this is something that you should own during inflation. So these products are really a response to that. Trying to merge together and blend strategies which I imagine are probably some things like some trend, some carry some curve structure sort of rolling down the curve. To try and mitigate the roll cost of basically having to be long commodities all the time. So you do get that profile.

hopefully of inflation-proofing with some sort of performance that can basically keep you alive for when the portfolio needs to have this protection. Well, I think the point, if you look at the, we had this great chart of drawdowns across asset classes. The drawdowns and commodities of the past 25 years is 80%. Okay, like 80%. That's why there's this expression about in commodities, you take the escalator up and the elevator down. So I think people have always viewed commodities as, I mean, you think people worry about drawdowns and CTAs and our max drawdown is sub 20% over 25 years, I mean, across the space. I mean, you were talking about a very, very, very different kinds of outcomes, which is why it's always been relegated usually to a very small percentage of people's portfolios.

And the funny part about that statistic, Andrew, is that people still think of what we do as highly risky. That's the funny part. Anyways, speaking of highly risky, you both brought up, or maybe I don't know if you both brought up, one of you brought up before the other, but kind of agree that that's an interesting place to start, is also a topic that we touched on last week, and that is the situational awareness situation, if I can... called it that. Andrew, I think maybe it was you who brought it up. And maybe it relates to... Well, anyway, what does it relate to in your view? Well, I think it's I mean, I think we always have these at any point in these markets You have kind of the prototype or the you know the poster child or something and you know and here's a fund that Again, it's like an AI company. It's gone from zero basically a few years ago to being a 20 billion fund and then 5

billion actually 25 million? 45, 45 before the breakdown, yeah. 0 to 45 is a humbling number in a few years. But I think it does point to back to the fear of CTAs. The fear of CTAs is there's a major whips on the market and we all lose 5% in a week. It is so disconnected with...

How other markets move in terms of the magnitude of what they move. So here's somebody who was basically Doing venture capital investing would look like four to one leverage or something like that And and it works spectacularly well until it didn't but I think it points out and I think this is something Tom can provide a lot of insight on is the difference between borrowing money from somebody who is looking over your shoulder, making sure you have enough money to pay it back and the instruments that you have supporting is collateral, where they can kind of force you to unwind it, which is what happens in this case versus trading liquid futures contracts where, yes, you may have notional leverage exposure, but again, I'm not aware of a CTA in history going through what situational awareness went through. So before Tom jumps in.

Let me provide a little bit of context to that. First of all, by the way, I mean, you've had phenomenal, phenomenal asset growth, even though this guy seems to have had, you know, the asset growth of a Chinese magnetic train. That's for sure. But you mentioned this thing about the leverage and actually one of my very first guests on the podcast, not the first one, but one of the very first had long track record. and actually a really good one. And then I think they launched a five to one version of it, or three to one, a four to one, a five to one. And that fund ended up going down something like 90%, which for the normal leverage, it's just a 20% drawdown, right? Completely normal. But that's what leverage does, right? And I think they ended up closing the business following that. So yeah, but Tom, you probably see much more of these. Well, I think Andrew's correct. CTAs, when you look at the notional exposures that can be taken, there is a kind of a misunderstanding or a mistranslation of leverage from equities into listed derivatives. Because listed derivatives have an inherent leverage from futures margin. But the CTAs that we work with, these are groups that are sort of experts in this field and it's something which they do very actively and it's ultimately, they are a hedge fund, they are trying to hedge risk. So I think what was going on situational awareness is sort of a maybe an

irresponsible use of leverage, but they definitely knew what they were doing. An investor in that funds must have known that this was the risk that was being taken with the portfolio of very concentrated and with leverage. But what goes on in the CTA space in this derivatives is you've got an ability to size risk according to how an investor wants it and then the very careful control of that risk and then ability to exit that risk whenever they want. And I think this kind of feeds into the use of managed accounts, which is becoming a big theme across the entire industry, that investors are increasingly looking at ways to be much more efficient in the way they access markets, and much more efficient in the way that they deploy their capital. So the SBAI have written a really interesting guide, I think last week, a guide to separately managed accounts, and they lay out the sort of the reasons why groups are doing it.

And they lay out the advantages and disadvantages of each of the sort of perceived benefits. So you've got this kind of notional funding and capital efficiency of only having to pay margin. You've got the ability to cross margin across different instruments. And for multi managers, you've got and got the even more increased efficiency of being able to cross margin across allocations at the top level. And then you've got all these liquidity, transparency, customization and control benefits. So it really does seem that the trend of the SMA usage is going to continue growing and I think more and more investor types are continuing to explore it on a spectrum of kind of how direct and dedicated they are. So you can start with this idea of managed account platforms doing a lot of the heavy lifting for you and then you move along the spectrum to more dedicated vehicles and more dedicated platforms to then going.

all the way to building your own platform or you're basically doing direct managed accounts yourself, which can be a heavy lift, but has all those benefits. So let me just try and intersect something and then I want to take something and then love to hear your thoughts on this. So one of the things that came to mind, well, first of all. Last week, we touched briefly, so when I spoke with Harry Moore from AHL, we touched briefly on a paper that went back to look at the math of the turtles, right? So this, but I will say this is obviously goes back to even before the turtles, the really the pioneers of trend following. Because what I think people may feel that they brought to

the table was this idea of, the benefit of buying 100 day breakout or 150 day breakout, whatever. But actually, what the paper suggests from memory, and what I completely agree with, if indeed it does suggest it, is that actually it was probably much more about the risk management that they brought to the table, not so much whether it's a 100 day breakout or it's a vault breakout or whatever. But it's the way we manage risk is really why this industry is still around. And to your point earlier, We have seen very few blow-ups unless you deliberately do a 5x version of your strategy, then you're probably going to blow up at some point. But my question, and I want to hear both of your opinions, is that we're now bringing back, SMA is coming back into to Vogue, it seems like from what Tom is saying, they've been there in the beginning of this industry, then it became more funds and use it and easy for investors to invest in and all that.

Then we on top of that start putting then we talk about capital efficiency and we see a lot of growth in the portable alpha strategies where we add quote unquote leverage and even though I've been asking the guests recently about why is it okay to add further leverage when it comes to these type products and of course it's to do with the convexity of the things you combine and stuff like that but still I wonder sometimes when we over engineer things they don't necessarily become better with time. And I was just wondering whether there is a risk a little bit to our industry that we are trying to become too clever. We're trying to design two clever solutions, so to speak, to all sorts of problems. Instead of just saying, this is what we're good at. We know how to find trends. We know how to follow trends or whatever it may be. But let's not get too clever about how we you know, maximize the efficiency of the capital and do this, that, and the other on top. Any thoughts here? Well, I think, I mean, a point that I've been saying again on this podcast, it was late to ETS versus hedge funds and everything else is there's enormous heterogeneity of preference functions among investors. Capital efficiency is extremely important to certain investors. You know, the ability to play a role in customizing something. There are vehicle preferences. I mean, certain investors, if we talked about they have a hedge fund bucket and they're going to add CTAs or trend to it, it's going to be a hedge fund. Like it doesn't matter. Like it's just so in our world, you know, we're trying to find people who have vehicle preferences for ETFs.

So, but I mean, I broadly agree with the over engineering point. I mean, that's the, it's, I mean, you look at an industry for 25 years that has had a lot of incredibly smart people working on more and more and more and more engineering and more and more and more instruments and the sharp ratio hasn't budged. And, but I think that's, I think there's two things. One is an investment decision. The other verse is a vehicle and delivery decision. Or as you know, I mean, our view is we don't need a lot of versions of what we do. And it's not very efficient for us to spend a lot of time trying to think about customizing it for, but on the other hand, if we can create different vehicles that help people because somebody's particularly price sensitive, well, let's come up with very low cost products. If somebody needs usage funds, if somebody doesn't want commodities in their portfolios, if somebody likes, there are things that we can do at the margin to potentially expand the pool of investors. And I think the managed account is just that. I think you have institutions that that are fundamentally changing how they think about hedge funds. And look, I love the view that it was almost a historical accident that CTAs ended up in a hedge fund vehicle in the first place. They weren't before that. Before the early 2000s, it was a managed account business. It was a managed account business.

you know, run for, I mean, in the US at least, it was high net worth investors were setting up futures accounts at places like Dean Whitter and getting exposure to John Henry and Campbell and other things like that was a great deal of leverage and swinging for the fences. Then it kind of became this institutional asset class with a hedge fund vehicle. And I think, you know, over the past 15 years, we've seen mutual funds like AQR and Alpha Simplex and you know, everybody else has kind of launched mutual funds that give you the same kind of exposure without the illiquidating other constraints. You now see it in usage land, you're seeing it in the QIS world, and you see it in managed accounts and now ETS. So I think it's just part of the natural, natural evolution been structural, you know, making the structure work to me is just very different from the overengineering on the investment side. Any thoughts, Tom? Well, I didn't think it comes down to a over engineering, I think it's, if you go down the philosophical route of we want to be able to capture trends in as many different places and opportunity use as possible, you need to be adding markets and you need to be thinking how can we do that efficiently. So I think the use of leverage

through futures and through instruments like futures is going to be something that continues.

Thinking about how investors fund their investments is going to be more important. One of the things that falls out of using managed accounts is almost that you can get your CTA or your managed account allocation sometimes for quote unquote free without a capital cost because and this is kind of why the portable out there is so thematic at the moment because it goes hand in hand with managed accounts. If an investor has a hundred dollars and they're thinking where they want to allocate it. As Andrew says correctly you got this sort of equity FOMO so they want to have as much equity risk as possible. Now historically you had to take dollars away from that to invest in a fund, but what you can do now with portable alpha is very easily and efficiently overlay your diversifiers your alphas over the hundred dollars of equities with the additional kind of 20 30 50 dollars worth of other things like CTAs.

And that isn't something that you have to go and borrow money to do. It's something that you can do very easily via listed derivatives. No, I completely agree with that. But it's also interesting to me that it's now in the last two or three years, we're talking much more about it. I mean, this is a concept that's been around for 30 years. So why now? Anyways, let's stay with your world a little bit for a longer, Tom. You mentioned in your notes something about that you see a bifurcation occurring in the CTA world. Do you want to talk a little bit about that? Yeah, it's something that we have really been looking at how we classify CTAs. So for a long time, our broad SGCTA index has included all CTA strategies by which we mean systematic managed futures. So this is strategies which have the permanent sort of P&L drivers coming from active futures and FX trading.

And an obvious component of that is trend following. But it's not the only strategy that exists within CTAs. And something that we've been very actively looking at is how we classify CTAs to make it easier for investors to understand these strategies. So we've really split the CTA world now in our systems and how we think of CTA as CTA trend, which I think most people are pretty familiar with, and then CTA non-trend. And I think this is a period now where we're starting to see investors maybe starting to

understand that a bit more. I mean, trend is a very accepted and understood term. It's kind of a term which is thrown around hand-in-hand with Managed Futures and CTAs. But I think we've got to a point where a lot of investors will have CTAs as a core part of their portfolio. Now it's maybe not as big a core part as Andrew would like.

When we think about modern portfolio theory and thinking about an efficient portfolio, the allocation to non-equity things like CTAs should be a lot higher than it ever is. But trend is increasingly dominated by large established CTA groups. These groups are typically going to multi-billion blue chip hedge fund managers, and it's very, very difficult to break into that market. Successful new entrants really have to disrupt And typically that is around something like being a commodity specialist or operating in alternative markets, which I know we're going to talk about a bit later. So trend is kind of fairly vanilla, but non-trend is really a lot less uniform. There isn't any definition of what non-trend is. It's just not trend following. Short-terms CTAs have always been and continue to be a really challenging space.

Yeah we've had this year we've had quest returning capital and only really if you think long term of a billion dollar group is Crabel as a group that's managed to survive. Outside of the shorter term space I think the non trend CTAs are becoming increasingly niche or. Starting to blur the lines with kind of quant multi-straps so that's groups that deploy capital across multiple strategies with one centralized research function across all asset classes maybe including single stock equities. I think this loops back to SMAs because there's an increasing number of specialist managed account investors who are very happy allocating to high sharp. low capacity strategies. I'm thinking of groups like multi strats, or the new kind of evolution of fund to fund groups, where they have the expertise and knowledge to access these strategies. And they're really interested in something that adds diversification to their portfolio. But can you, I mean, can you break down when you talk about non-trend, I mean, or like, what do you think about it? Do you think about, can you describe like three or four? Yeah.

Ask examples of trades in very, very concrete terms that you're referring to. So we would probably classify the three obvious groups that stand out as short term. So this is, you know, as a trend follower, typically looking in sort of weeks to months, if not longer. And so we classify short term as anything with an average holding period of two weeks or 10 days and less. But it's trend, but it can be, it can be. I think I think trend or breakout forms a part of that. But then there's a whole lot of other stuff going on. And what we have typically seen is that it's really parameter dependent. So as soon as you change a parameter by a tiny amount, it completely changes the way that the portfolio comes out. So you've got short term. I think we have then more kind of fundamentally driven or what we might call systematic or quantitative macro is a classic kind of area of focus as well in the non-trend space. So these are groups.

where they're digesting more fundamental forward-looking market data versus a trend follower, which is maybe looking at more historical technical price-based data. That, for me, was an area that was obviously going to grow five, 10 years ago. But surprisingly didn't. It's actually been an area where we've seen a lot of groups didn't go out of business. So I was expecting trend following to be a reducing strategy and quant macro to be a much more obvious area of growth for many years. Happy that I was not happy it's been proven wrong. And then I suppose the third obvious group is then commodities. So a quantitative group, maybe relating to some of the ETFs that we talked about earlier, where they are taking advantage of a lot of factors across commodity markets, maybe that directional or relative value.

I couldn't help noticing that you in your description. I mean, I think description is correct in terms of what the narrative is like where you say, yeah, trend is becoming plain vanilla. And I'm thinking, hmm, I think there's a lot more that goes into being a trend follower than plain vanilla. And actually the risk, the reason why I want to highlight it and kind of resist that narrative. is I feel that there is a risk that people will get to the point where they say, well, trend, it's all the same. I just need one. Or it doesn't matter who I pick. I'll just pick the biggest or something like that. And I think that's just so far away from the truth. And I just see a little bit of a risk once we start describing trend as something that is plain vanilla, even

though, of course, You know they're also for competitive reasons people who would like it to sound like it's playing vanilla And then they say oh like there was a I think they're still in business actually so I don't want to necessarily mention them by name But there was a firm a few years ago that came out Saying oh we can do this trend stuff for 50 basis point and they raised the billions of dollars very quickly and then it all went they're all the way and that Program probably if it still exists. It's very very small today. So I think there is a risk about that Anyway, I think maybe I should maybe I should restate maybe not playing vanilla But I think the the concept of trend following as a portfolio element is is now Broadly more broadly accepted than it was maybe 10 years ago Sure, sure. No, no, that's absolutely fine. It's just that I think actually also you're right in the sense that people may think about trend as something that's really simple and plain vanilla. But anyways, I think the next topic that you brought along, Andrew, kind of touches on some of the stuff we've already talked about. I'd love to dig into that. So why don't you kick off with the non-crisis or all-weather alpha type? Well, look, I think the, I mean...

I don't think that the drivers of returns of CTAs at that complicated at the end of the day, but from my seat, in that when you sit down with a serious hedge fund manager and you're talking about an investment idea, it's not just whether you think something is cheap or interesting or going to grow. There are a million smart people out there. Why aren't they capitalizing on it? There's this running joke about two economists. are walking down the street and one of them sees a hundred dollar bill and goes to pick it up and he says, don't bother if it was there, somebody would have picked it up already. And so there's this kind of assumption that the best opportunities are because somebody has handcuffs from an investment perspective or even though they're smart and they've been at the area, they somehow are not able to capitalize on it.

I think my conclusion about trend following, and I hate the term because I don't think it's about being late into a trend. I think it's about being very, very early into a trend when the signs of a trend begin to emerge. But I think it's because I think the reality is that most investors, we're in this like talking about a tiny, tiny, tiny, tiny, tiny, tiny subset. of the overall investment world. But you go out and you talk to somebody who's running

a sovereign wealth fund or a wealth management portfolio or putting together asset allocation recommendations at an investment bank, the portfolios don't move. I mean, it's they just don't move. And so thematically, Most investors, although you get a lot of noise, it's a little bit like politics, where the loudest and most active people kind of get the most attention. Yes, of course, the 2X leveraged this, the 3X leveraged Nvidia fund that's going up or down, that gets all the attention. It's still a tiny, tiny, tiny, tiny, tiny portion of the overall universe. The overall universe are things like 60, 40 portfolios that don't change or change minimally year to year.

And so I think what this space brings and why it's an all-weather solution is that there are always things that are changing outside the range of expectations of those big model portfolios, those strategic asset allocations. And human beings are just not very good at capitalizing on it. were too emotional and one of you was talking about introducing risk management and rules-based approach to things. It's very, very hard for a human being to say, I spent all this time looking at this opportunity and I started buying it at 100 and it went up to 110 and then all of a sudden it goes down to 97 and I'm just going to sell everything and walk away and look for something new.

Because it's very, very hard for humans to give up on their favorite ideas and their best ideas. The inclination is, I'm going to hold it. And that's where you get this white knuckle grip. And you can end up losing much, much more than people end up expecting. And so the cold rational way in which this industry hunts for these big unexpected changes that are going to happen in the market, and then ruthlessly gets out of them when they're not working. is a money-generating activity, an alpha-generating activity that can function over the last year where there hasn't been a crisis. So you could be up 23% over the course of the past year because people were wrong about liberation day resulting in a global economic slowdown and a 20% or 30% decline in equities. It was the right thing to buy them, even if that was very much of a FOMO trade.

It was a right to be long-gold until early this year. It was a right to get out when they did. And it was a right to start buying crude oil early on. So I think in that context, I think just this, there really just needs to be this

narrative reframing of the space. And I think the language around trend is just not that helpful because it's a complement. It's completion strategy for something that you as an allocator don't do well. which is the time the markets. Well, I think you also had a question for Tom, if I don't misremember something about whether allocators still rely on the crisis alpha pitch. There's been an evolution in the thinking. For a period, that was definitely something which CTA marketing was led with, wasn't it? And it obviously worked well, but I think it upset a lot of managers, because that isn't what they're trying to achieve. They're trying to achieve long-term portfolio gains. They're trying to achieve... Well, they're trying to realize a statistical relationship that shows that, yes, historically, CTAs have delivered outsized performance and protected portfolios during crises. But there seem to be two things.

that goes wrong with that. The first thing is that investors continue to expect it to always be a case, and so they get increasingly upset when it doesn't always protect, especially in shorter and shorter time frames. You might see markets down for one or two months, and investors suddenly start to ask questions about why these things they thought were crisis alpha aren't suddenly delivering 10, 20%. Well, surprise, surprise, equity trends were very, very strong up until this point. So many groups will have been long those assets and it takes time to re-adapt portfolios. But it also takes time for new trends to emerge that maybe will be complementary over the medium to long term and provide significant portfolio benefit. Now, I think more usefully The mark this is the rhetoric has maybe changed to more be rms. So this is kind of a concept of risk mitigating strategies. But again, as we said, there was it's nothing new these these aren't new concepts. This is simply adding things that diversify your portfolio and trying to build an all weather solution that has a balance of things that are.

gonna benefit during growth periods and also which can have protection and generate interesting performance during less interesting periods for equities and go through cycles. I disagree with that in that like if you look at the past 25 years in the SOC Gen CTA index, it's some cash plus 250 basis points net of fees and expenses. And so if you start with the assumption that every eight or 10 years, you're going to have a 20% return in the strategy. That almost by definition means in every other year you're earning cash.

The framing it of a crisis alpha was also something that took off when they weren't delivering returns in other periods, the overall space. So just the math is if you're very, very lumpy alpha and almost all of your returns over cash, again, we're talking about a portfolio that's cash plus the futures generating return.

You take out the cash, you end up with something where futures do really well in 2022. And then if you're doing roughly cash like returns the rest of the time, then the crisis alpha moniker makes sense because it's the only thing you have to offer to people. Because you have to basically ask them to hold on through a period of what is effectively on a risk-adjusted basis, dead money. And so when we looked at this face 10 years ago, the only way you solve that and you turn it to all weather portfolio is by bumping the sharp ratio up. So that over that 10-year period, you're not doing cumulatively 20 points over cash, you're doing 40 points over cash. So then if I'm doing 200 basis points over cash in years one through eight and 20% in year nine, now you have something that actually now fits as an all-weather solution because if you're being paid to wait, for that period of time, it's very, very different. So I don't think it's just that people don't understand the concept of framing it in the wrong way. I think it's a sharp ratio across the overall strategy. Well, I think we would have to sort of do a proper analysis of the CTA index. I think it's something that Niels has brought up before. I think about half of the funds or strategies that report their performance to us for the indices are some sort of composite of managed accounts. So they won't include a cash rate. But I think you'll your broad point does make sense in that there's something going on that they haven't been delivering quite enough during certain periods. I do think that the reason a lot of investors continue to look at these types of strategies is because they are interested in the broader portfolio benefits that they can provide across all scenarios. I don't know if you maybe have anecdotal evidence, but it'll be interesting to think how many investors do miss time CTA investments and therefore come away with a bad experience from an asset class, which you're an asset group, which should be very additive that portfolios, but they just happen to be interested in an investor at the wrong time and therefore walk away and never want to come back.

I think it's important again always when we use the term crisis alpha is actually to kind of go back and remember remind ourselves what Katie meant by it when it came up because there's kind of a question from an investor I think at the time after the 2008 period where the question was something like why is it that these strategies tend to do well in times of crisis and. i can't remember all of them but it is you know there are like three reasons one is that it's it's unbiased the other thing is it's highly liquid so we can change exposure in no time and and and it's opportunistic but it don't take my definitions as anything Katie has a much better clear definition of it but in any event i think that that's where it came from and i think we as an industry found it very useful.

to talk about it as crisis alpha. Even though of course the initial investors who and of course back in 2009 who would have known what the what the equities was about to start doing for the next 15, 20 years. So it all made sense at the time but I agree. I think it's wrong to to sell it as a crisis alpha strategy i don't think that's right i've kind of forgotten where we were some of the points i wanted to say i mean christoff is a great term right it's a it's a very clear very concise term and it's what people want um but but i think that i think that um You know, again, and Tom, your point about how much of the cash returns of the SOCGEN CTA index or how much of the cash returns are not included in SOCGEN is a great statistical point that I'd love to know the answer to that. But I think that people are... And Tom raised the question about how do people mistime the strategy, at least looking at US mutual fund data, yes, people do. People tend to buy, but that's true of everything in the US mutual funds.

base, right? I mean, something goes up a lot. And I'm sure, so by the way, going back to situational awareness for a second, we don't know a lot about the situation unless you've read articles or something that I haven't read. When somebody says it was down 67% in July and was only then therefore up 80% for the year. That's a very weird sentence. Okay. for a 45 billion fund. So wait, I'm sorry. So through June you're up 300 and something percent and you gave back the third of in July and you still have been tropic as one of your principal investments. But my point is somebody mentioned that a lot of the money may have come in when they were already this year

when they were already up 200%. And they made the fresh money like coming into ARC just before ARC ended up getting crushed.

But I think this sort of broader idea of kind of what is the right return stream that people should be looking at to decide whether to include this in the portfolio, it's always, it's the SOCGEN CT index to me is the gold standard from an index perspective. And yet it still has this limitation that as interest rates have gone higher, If a lot of the funds are not reporting their cash returns, that is a hit to the returns of the strategy over time. And so I think what we need as an industry is a way for an allocator to very simply say, this is what I'm buying and this is what I expect to be my returns over time. This is what I think it's going to do, how it's going to contribute to the overall sharp ratio and efficient frontier of my portfolio and then have a clean and consistent way of doing that, which I think so far people have struggled with.

Can I ask a question here? So Tom, one of the things I've been thinking about, because I see a lot of managers who come out and say, oh, I beat the index. OK, well, we're kind of expected to beat the index in my opinion. But, you know, so the way I think about the index, and maybe there are no other ways of doing it. But if you think about the index, especially, say, the trend index of 10 managers, they're all very big. And the way you think about it is that from time to time, one of these firms starts to underperform. But it takes a while before the AUM goes down so they get replaced by someone else. So you get all the negative performance in the index. But the one you replace them with is usually a fund that has grown in size because they've done really well. But we don't capture that positive lift.

Anywhere so to speak and then once they get to a certain size for a five billion. They're in the index and who knows what their performance will be suddenly at five billion compared to what it was at five hundred million. So I'm and I'm maybe there is just no way to deal with it. But but my my my worry is a little bit that the index is always being slowed down to some extent because a manager who's in the index is not having a great time. But the one who replaced that potentially replaced that manager, we're not capturing the positive side of that of that performance. Does that make sense? And I think you raise a really interesting point. Your first assumption

is we should expect to beat the index. Is that true? This is an index composed of the 10 largest most sophisticated CTAs in the industry. So thinking of these hedge fund indices in the same way we think of equity like in S&P 500 is fundamentally different. Well, let me give you a little bit more clarity. I think that if a client was looking to invest with us, for example, they would expect us to beat the index. Occasionally. I mean, I don't mean every year. I mean, just generally, we should be outperforming over time. I think that's... I would challenge that assumption.

Because I don't think it's the same. I mean, that would be great if we can lower the bar a bit. That would be fine. Because I think you're dealing with a different type of index. It's an actively managed index. It's an index of active managers. It is not a passive benchmark in the same way that the S&P 500 is for equities. So I think you've got that, although the S&P 500 probably suffers from the same issue of bias. a bias. I think Andrew, you came up with this kind of term of sneaky bias, sneaky selection bias, but it's a very good question. It's quite subtle, but there is an excellent paper that efficient capital have written about called Blinded by Bias, in which they can tackle this exact issue because if you take the current 10 constituents of our trend index, Let's call it the 2026 vintage and then backfill the data. That is going to be an unbelievably strong performance for the exact reason you're saying is that those funds are big. Primarily, I would say there are other factors, but there's going to be a very strong factor to do with that performance over the last recent history.

This is something which we really do have to tackle with investors of when they look at the index and then they think about well those funds are done very well and why isn't your fund done this or why hasn't a multi manager blend of funds beat in the index. It is very hard to do why why don't you publish then the 2026 or whatever year we're in vintage alongside the trend index because you have the data. Well, we wouldn't always have the data going back as far. No, no, fair enough. As we would want. Yeah. You know, there's going to be a natural kind of period when it stops. But I think efficient capital do a very similar exercise and they compare the return characteristics of those back filled vintages and it is significantly better than the live sort of walk forward index. Okay.

We've run the numbers as well, obviously, because we're very interested. So first of all, SoftGen does what I think is analytically correct. In January, they take somebody out and they add somebody. And they're not going back. In the early days of hedge fund indices, people would go back and say, let's change all of our numbers going back. You backfill everything. You're back for letting me think. That's like a cardinal sin from a statistical perspective. But it was also the original hedge fund indices were built to also promote the hedge fund industry. And they competed with each other on the base performance. So there was a lot of dumb things that happened. Pivotal paths, by the way, if you want to point to somebody I think is the best broad hedge fund industry data, you should look at Pivotal path.

But on the selection bias side, what happens at your points, if you look at the SockGen CTA index versus the current, the 2026 constituents of it, 17 of the 20 have outperformed the index over the past 10 years. And so the SockGen CTA index would only be in the 15th percentile of the current managers. And in fact, if you look at sharp ratio and historically the index has had a somewhat, has had a strong sharp ratio and above average sharp ratio because of diversification of single manager risk, the index comes into the 35th percentile. So what it does is from an allocator's perspective, fund selection looks easy when you look at the 20. 17 at the 20 look like they're above average.

What I think it does is in sort of an insidious way is that people underestimate single manager risk in this space. And there have been some papers that I've read over time that said, you know, you shouldn't look at the index data and they point to like three funds that have crushed the index over the past 20 years and say, look, see, this is why you should be looking at single funds rather than the index. And I think that's just... But I want to be very clear. I think from a software perspective, they're doing what is exactly right. And politically, the burden is on the allocator to say, okay, so who are the 2026 insituants that I happen to be looking at today? Well, in fact, if only nine of the 20 strategies 10 years ago are still around today, I really should look at some of the wounded people out there like the firm that you mentioned, Niels, who looked unbeatable for five or six years and has pretty much disappeared.

from the trans space. But look, I think this is the challenge people face. I think what it does over time though, is you get people who pick a manager, they think the manager is going to be basically give them the SOC Gen CT index plus 200 basis points. So every quarter they can look at it and show, look, I would have been really happy owning this over the past 10 years. And that doesn't happen. Then I mentioned this kind of weird statistical thing where the SOC Gen CT index and it may be timing or other delays factor into it. But it looks like some managers in the space did really surprisingly badly in July, which was overall kind of an okay, okay, a decent area for the space. And so that's where I think it's, there are all these kind of complicated issues on the allocator side where they're trying to get this right, they're trying to get this right and they feel like they keep kind of like stubbing their toes or stepping on landmarks in the process. So this is where I think there's an interesting role for either the diversification across managers, or the use of multi-manager solutions, which you potentially have a lot to offer, and often use these managed accounts, which we spoke about, to access them very efficiently. Well, I'm sure people are saying, why would I invest with you when I can invest with these seven guys? And they're saying, well, if you'd known that we're going to be so great 10 years ago, by all the way, go back 10 years and invest with them.

Which is why we do the work as well. Yeah. I mean, oddly enough, I remember, I think Harold over at Transfer and writing a paper at some point. And I tend to agree with the, I mean, I don't think any institutional investor would just select one CT and say, oh yeah, I've done my homework. I don't think they do that in reality. They should pick two, three or four. And I think when you do that, when you run most analysis and you've picked two, three or four, And if I'm asked about it, I would say pick two or three or four that are structurally different, right? They're not all the same. I agree with you on that. I don't think investors are trying to pick three or four which are going to replicate the index for them. I think they are...

very aware and cognizant of the issue that is presented to them and they are trying to pick three or four which have different characteristics. Yeah, and I think if you do that and you run most numbers, you'll be fine. Anyways, we've gone along a little bit already. Now, there were more topics that was

brought up. We certainly have another five minutes if we want. If there is anything, either of you want to really want to bring up, let's do it. But we probably want to wrap up in about five minutes or so. Anything on your side, Andrew? I know it was your topic that we were sort of going through the list here. I would love for somebody to really dissect this trend versus non-trend. Because obviously we're looking at the overall space, which is supposedly a trend versus non-trend. I don't see the non-trend stuff as big drivers of performance over time. I see them as satellites to the core driver. We've looked a lot at short-term models and we've looked at a lot of the questions speed. We always come to the same inclusion. It's a zero-sharp ratio exercise. It looks great on a graph because it looks like you're going to get in something earlier and get out later, but that ignores the fact that you get kicked in and out of these trades and you over-trade all the way up and you miss a lot of the benefits of it. When people talk about including Kerry and things like that, I forget exactly when the Saucon CTNX trend subindex was created, but if you look at that versus the broader index over time, it's the same sharp ratio. I don't see the diversification benefits of adding and all this other stuff. So I guess I'd be curious from your perspective, Tom, if you had to say, when you look at the broad index, how much does the non-trend stuff really matter in it? I agree with you.

doesn't sit as a group and is complicated to decompose because you haven't got this sort of consistent risk factor that they're all trying to capture. I remember one CTA telling me that they've done a lot of research probably similar and it kind of sounds like it mirrors what your experience is in that the product that we're trying to build and the product which I give to an investor longer term just is better in general. But what they're trying to create is something that an investor can hold and present to an investment committee over different periods. So adding shorter term strategies definitely smooths out the return profile during volatile periods, which I think is maybe goes a long way in explaining why people try and add these shorter term strategies in.

Risk management, of course, you can do anything to reduce your drawdowns, right? I mean, there are a lot of different things you need to reduce your drawdowns, but you give up something for it, right? And some of the popular mutual funds in the U.S. were the ones that, after the

whipsaws at the end of 2022, the ones that, or at least the pitch was, we're going to have these short-term models that are going to, again, protect you at the inflection points, right? But that's no different than vol controls or... or stop losses or other things that are designed to basically get you out of positions faster, but it's a fancier way of doing it. The problem was over subsequent periods of time, the impact of getting hit by these whipsaws, the loss of performance, it, like a lot of things that end up reducing your risk over time, it also had a true economic cost. Now that's evident in the numbers right now.

And so I think part of what you've seen in, at least in the US mutual fund and ETF space is people saying, all right, well, maybe I'm not getting compensated for. Maybe others have to kind of accept that there's going to be a little bit more volatility. If I want to be able to have this be an all-weather solution, that's going to give me enough returns over time that I can't worry as much about small inflection points. Well, time will tell. We'll see. Anyways, this is great. Great discussions. Thanks so much for bringing up some and bringing with you some really important topics. Really appreciate that. Before we wrap up, let me just remind the people listening today that we did a couple of weeks ago. We had Rich and Dave Dredge on. It was a very long conversation, very important one, I thought. And at the end of it, I actually mentioned that people could win some TTU merch. Namely the same vests that my prestigious panel of co-hosts are wearing from time to time. Not today though, but in the winter time they generally dress up for that. And I have a couple of these very unique vests that I would like to offer as a little incentive for people to go and leave a really nice review of the podcast and show the appreciation to the co-host. But in order to do so and in order for me to know that you've done it, you need to send me an email to the usual info at toptradersonplot.com with a copy of what you wrote and then tell me where you wrote it so which platform you left it at. That offer is still out there and we will leave it until the end of August before we choose the winner. Anyways, Besides saying thank you to both of you, Andrew and Tom. I was gonna say next week I'm joined by Rob Carver. I'm not sure it's Rob coming. I think he's on holiday. So I completely forgot to look up who's joining. So that'll be a surprise for not just me, but for anyone listening today. But if you do have some questions for the next guest whom we don't know who will be, then by all means send

it to infotoptradersunplogged and I'll do my best to bring it up. That's it for today from Andrew.

Tom and me thanks ever so much for listening. We look forward to being back with you next week. And in the meantime, as usual, take care of yourself and take care of each other. Thanks for listening to Top Traders Unplugged. If you feel you learned something of value from today's episode, the best way to stay updated is to go on over to your favorite podcast platform and follow the show so that you'll be sure to get all the new episodes as they're released. We have some amazing guests lined up for you, and to ensure our show continues to grow, please leave us an honest rating and review. It only takes a minute, and it's the best way to show us you love the podcast. We'll see you next time on Top Traders Unplugged.

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